

Portfolio Structure and Implementation

It is important to get an early start to identify the appropriate market risk factors and build your diversified, low-cost, passively managed multi-asset-class investment portfolio for retirement. Even if your portfolio was set up with proper care in the past, has it slowly evolved and transformed away from what is appropriate for you now? And does it need further refinements as part of the transition into retirement? Determining asset allocation should really be the last step in the process of fully completing the Retirement CARE Analysis and the retirement income funding portion of the RIO-Map. But it is important make sure the portfolio is mostly right for you as other steps are being completed. At the end of the process, it will still be possible to engage in any additional fine-tuning.

This section provides an overview of the important types of questions to answer about portfolio construction and implementation as a part of the diversified portfolio section of the RIO-Map. For instance, are you comfortable with your portfolio and its potential volatility? Can you stick with it during market downturns? Specifically, how did you respond to the financial crisis of 2008? In March 2009 were you still holding on to your stock positions, or had you abandoned them? This is important for determining the right exposure to market volatility with regard to your emotional comfort and ability to implement your knowledge about investing.

As well, was your portfolio developed with a clear intent and purpose, or was it built in a piecemeal fashion over time without any clear direction or overall strategy for guiding its component pieces? Are there any concentrated positions, or is the portfolio properly diversified? Is it worthwhile to consolidate the number of your investment accounts and vehicles in order to simplify matters? Especially, if you have invested in a variety of actively managed funds, they almost surely are averaging out to underperform market indexes due to their fees and lack of coherent aggregate strategy. What fees are you paying on your underlying investment vehicles? Have you invested in lower-cost passive investments, or in higher-cost actively managed investments that generally end up underperforming over time due to their higher costs?